

Table 4: Extension 3 — Financial Development and Safe Asset Production Capacity (1980–2022)

	(1) Baseline	(2) Credit	(3) Mkt cap	(4) FinDev idx	(5) Full
(Intercept)	0.900*** (0.214)	1.177*** (0.231)	0.824*** (0.223)	1.119*** (0.217)	0.874*** (0.217)
FDI assets / GDP	-0.764*** (0.239)	-0.495* (0.251)	-0.585** (0.233)	-0.519** (0.243)	-0.181 (0.221)
FDI liabilities / GDP	0.715*** (0.224)	0.476** (0.233)	0.556** (0.218)	0.496** (0.226)	0.171 (0.207)
Output volatility (HP)	-29.063*** (4.922)	-33.490*** (5.013)	-29.419*** (5.539)	-33.303*** (4.905)	-23.022*** (5.424)
Private credit / GDP (std.)		-0.333*** (0.126)			
Stock market cap / GDP (std.)			-0.266** (0.123)		
FinDev composite (std.)				-0.379*** (0.131)	-0.145 (0.157)
Intangible intensity (std.)					-0.359* (0.188)
Rule of Law					-0.038 (0.162)
OPEC dummy					-1.670*** (0.430)
HIPC dummy					0.591** (0.274)
Num.Obs.	75	75	56	75	75
R2	0.384	0.440	0.434	0.450	0.627
R2 Adj.	0.357	0.408	0.390	0.418	0.582

Notes: Dependent variable: cumulative dark matter exports over 1980–2022, divided by end-year GDP. The FinDev composite index is the mean of z-standardised log(private credit/GDP) and log(stock market cap/GDP), averaged over the sample window. The theoretical prediction (Caballero, Farhi & Gourinchas 2017; He, Krishnamurthy & Milbradt 2019) is a positive coefficient: financially deeper economies produce safe assets at lower cost, attracting capital at below-equilibrium rates — the return differential H&S capitalise as dark matter. Column (5) includes all three extensions jointly. All variables winsorised at the 1% level. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.